

were to shake hands and like the people, I think that would really cloud my judgment.” This is an important admission. Even Block says he can’t resist the charms of management.

Here’s his advice:

- Reading conference-call transcripts is better than listening to them.
- Read several quarters at a time to look for disappearing initiatives, changes in language.
- Are questions ever evaded? Which ones? “Sometimes they call on the same people and they have a rapport with them,” Block said. You know; it’s the calls that go like this: “Great quarter, guys.” “Thanks, Mike.” If the transcript is filled with that and there are no pointed questions, then it “smells like a stage-managed call.”

In summary, it is “best to keep management at a distance.”

On Boards

Boards are supposed to represent shareholders, but they don’t. As Block said, there is a symbiotic relationship with CEOs. Board members often view their directorship as a perk, not a responsibility. Insurance and other protections insulate boards from liability.

Moreover, board investigations into misdeeds are unreliable. When boards have to investigate something, it’s like asking them to admit their own incompetence, Block said. You can’t rely on them.

Lawyers

Lawyers “make it difficult for investors to make good decisions.” They represent the interests of their clients — the people who pay them — not investors.

“‘Prestigious’ law firms are a surprisingly effective fig leaf,” Block said.

They are great at writing indecipherable prose. And the attorney–client privilege “hides innumerable acts of corporate wrongdoing.”

Which means, don’t be fooled because a firm has a fancy lawyer.